

¶10. It is anticipated Ms. Aboud will expend 1 hour reviewing Zenda Estate's Opposition to the motion, and 7 hours drafting the Reply, for a total of 8 hours, and \$ 1,520 .

¶11. It is anticipated I will expend 2 hours attending the hearing on this matter, for a total of \$ 480 .

¶12. In sum, our request for attorney's fees regarding this motion total \$ 11,872 .

While the amounts requested for reviewing and drafting the reply are only "anticipated," there is no further declaration supporting that these fees were actually incurred. Also, Cross-Complainants have claimed that attorney's and costs should not be imposed at all, as they claim the motion should be denied. Moving counsel is ordered to submit a supplemental declaration attesting to fees actually incurred to review the opposition and prepare the reply no later than August 3, 2026 by 4:00 p.m. PST. Cross-Complainants may oppose the fees hours and amounts if they choose by filing a supplemental opposition within 9 days of the continued hearing date on attorneys fees.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2505265	YIP VS HEDBERG CONSTRUCTION, INC.	DEMURRER ON 1ST AMENDED COMPLAINT OF GEEMAN YIP BY HEDBERG CONSTRUCTION, INC.

Tentative Ruling: Overruled.

Moving Defendant to file their answer to operative 1st Amended Complaint within 20 days of this order becoming final.

Responding party to provide notice pursuant to CCP 1019.5.

This is a home improvement dispute. Plaintiff Geeman Yip ("Plaintiff") alleges that Defendant Hedberg Construction, Inc. ("Defendant"), through its principal, Mark Hedberg, held itself out as a general contractor experienced in residential remodeling projects. Plaintiff alleges that the parties entered into a home improvement agreement in July 2022 for his 7,255-square-foot residence located at 106 Lantana View, Palm Desert, California. Plaintiff alleges that Defendant never presented a statutorily required home improvement contract despite Plaintiff asking for one, nor had Defendant provided an actual estimate of costs. Plaintiff asserts that Defendant requested a 10% security deposit totaling \$144,999.58, which exceeds the statutory limits for these contracts. Plaintiff asserts that Defendant overcharged for unjustified and unapproved items, such as billing Plaintiff for patching drywall holes mistakenly created by Defendant. Plaintiff further asserts that Defendant made representations that he would reimbursement Plaintiff for deficiencies but never did so. Plaintiff contends that Defendant failed to send estimates for approval despite promising to do so, improperly billed fees for his own son as an unqualified assistant, as well as demanded and acknowledged prepayment for work that was never completed. Plaintiff allegedly paid a total of \$2,645,268.92 over an initial budget of \$1,565,765.45.

The First Amended Complaint ("FAC"), filed 4/30/26, asserts: (1) declaratory relief to declare agreement void or voidable and unenforceable; (2) breach of agreement; (3) negligence; (4) negligence per se; (5) violation of the unfair competition law; (6) accounting; (7) fraud; (8) negligent misrepresentation; and (9) payment on contractor's license bond.

Now, Defendant Hedberg Construction, Inc. demurs to the 7th cause of action (fraud) for failure to state facts sufficient and for failure to plead with particularity. Defendant argues that Plaintiff

relies on generalized assertions on how and what misrepresentations were made. Defendant also asserts that the FAC alleges a standard contractual breach but not fraud.

In opposition, Plaintiff argues that there are, “at great length,” specific allegations of misrepresentations and statutory violations. Specifically, paragraph 80 of the FAC contains multiple instances of fraudulent acts on various dates. Plaintiff also argues that less specificity is required when the defendant possesses information of the underlying facts. Plaintiff further asserts that Defendant’s willful violations of the home improvement statutes are the basis for fraud.

In reply, Defendant argues that the claims in the FAC are conclusory statements. Defendant asserts that Plaintiff’s opposition merely recites the conclusory allegations without showing any intent to defraud. Defendant asserts that Plaintiff failed to meet the particularity standard.

Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kettleman* (1994) 8 Cal. 4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

7th Cause of Action - Fraud

The elements of fraud must be pled specifically. (*Stansfield v. Starkey* (1999) 220 Cal.App.3d 59, 73.) “This particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (*Id.*, citing *Hill Transportation Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 707.) General and conclusory allegations of fraud are insufficient. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Fraud consists of: (1) misrepresentation of a material fact (consisting of a false representation, concealment or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793.)

Here, Defendant argues that the FAC contains only “generalized assertions,” and that “[s]imply stating that Hedberg ‘fraudulently procured a deposit’ and ‘fraudulently billed [Plaintiff] for work’ is not sufficient.” Contrary to Defendant’s arguments, the FAC alleges specific instances of misrepresentations and identifies that “all comments and communications from [Defendant] were made in, and by, [its] principal, Mark Hedberg.” (FAC ¶ 5.)

For the deposit, the FAC alleges that on or about 7/7/22, Defendant requested and Plaintiff paid a 10% security deposit of \$144,999.58. (FAC ¶ 80(b).) The FAC quotes an email from Defendant's principal, Mark Hedberg, dated 7/7/22 stating:

“Deposit will initially be held as a credit, as we progress and generate progress billing (typically monthly) we will send you detailed invoices and simply draw against this deposit amount until it is gone...” (*Ibid.*)

The FAC then alleges that this was a false representation because the promised drawing and billing credit method “never occurred.” (FAC ¶ 80(b).)

For other billings, the FAC alleges that from October 2022 through December 2023, Defendant billed charges against Plaintiff for a “Carpenter’s Assistant” who was actually Hedberg’s “unqualified son” who was “not qualified in that position.” (*Id.*, ¶ 80(c).) The FAC also alleges that during a 4/1/25 in-person meeting to discuss project deficiencies, Defendant’s principal Hedberg promised he would “just write [Plaintiff] a check for that,” but “[t]hat payment/reimbursement was never forthcoming.” (*Id.*, ¶ 80(e).)

The FAC also identifies a specific email exchange on 7/13/24 in which Hedberg “acknowledged” demands for prepayments of services that had not been rendered. (*Id.*, ¶ 80(f).) The FAC further identifies that Defendant overcharges for correcting its own construction mistakes, including patching drywall holes and cutouts created by Defendant and repeatedly redoing work on a pair of doors, referencing a specific invoice dated 9/18/23. (*Id.*, ¶ 80(g).) The FAC alleges that “[d]espite the fact that these were acknowledged mistakes on the part of [Defendant],” these duplicate and corrective costs were fraudulently passed on to Plaintiff. (*Id.*)

The FAC then alleges that “Mark Hedberg, acting by and on behalf of [Defendant], made these representations ... he knew [them] to be false and made [them] with the intent to induce [Plaintiff] to act in reliance.” (*Id.*, ¶ 81.) Finally, the FAC alleges that at the time these representations were made, Plaintiff was ignorant of the falsity of the representations and believed them to be true. (*Id.*, ¶ 82.) These allegations are sufficient to satisfy the heightened pleading standard for fraud.

Defendant argues that Plaintiff’s claim is merely a contractual breach claim disguised as tortious fraud, citing *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979. This argument is not persuasive. Generally, “a tortious breach of contract ... may be found when ... the breach is accompanied by a traditional common law tort, such as *fraud* or conversion.” (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 553-54 [italics added].) Here, the FAC alleges that Defendant knowingly billed Plaintiff for unearned, unqualified, and fraudulent labor markups (FAC, ¶¶ 42, 80); failed to draw against the security deposit as represented (*Id.*, ¶ 80(b)); failed to reimburse Plaintiff for deficiencies as representing (*Id.*, ¶ 80(e)); demanded and acknowledged prepayments for construction services that were never actually rendered (*Id.*, ¶¶ 42, 49, 80(f)); and billed Plaintiff for deceptive markups for repairing its own mistakes (*Id.*, ¶ 80(g)).

Thus, because the allegations are sufficient to allege that Defendant made misrepresentations that induced payments outside the scope of the parties’ contract, these claims are independent of a mere contractual breach claim. OVERRULED.